

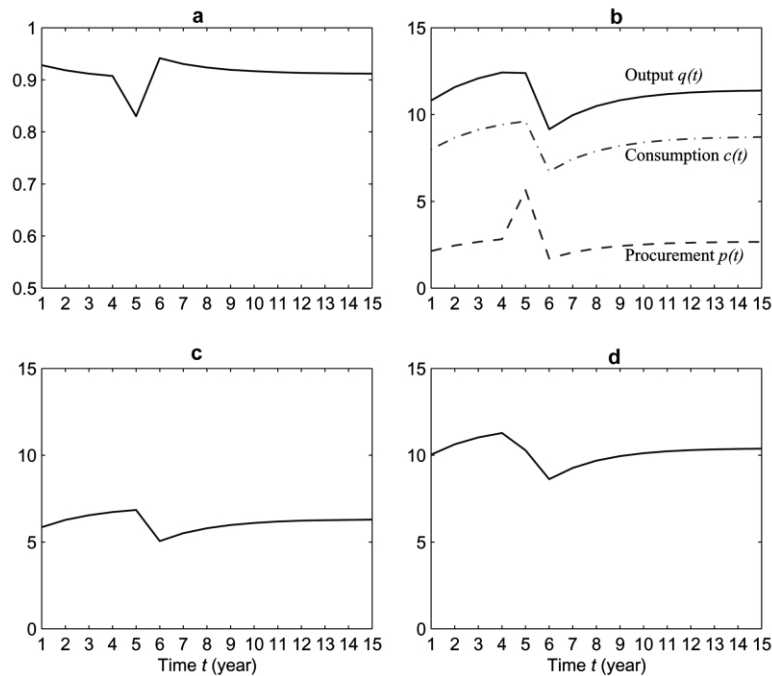


FIG. 1.—Simulated impact of the GLF: the combined effects of overoptimistic expectation and increased impatience: *a*, agricultural labor, $L(t)$; *b*, output, consumption, and procurement per agricultural worker; *c*, work capacity per agricultural worker, $h(t)$; *d*, aggregate agricultural output, $Q(t)$.

output per rural worker, to a permanently higher level than a less patient one.

In the remainder of this section, we show that the radical GLF policies can be formulated by an increasingly impatient central planner relying on the false promise on the impact of collectivization on productivity. We solve the dynamic model numerically and simulate the government's "optimal" decision making during the GLF and the economy's dynamic responses. We select the parameter values that characterize the economy on the basis of empirical findings presented later in the paper; see Appendix B for more details.

Start with the postwar recovering economy at year $t = 1$, with a low food consumption $c_1 = 8$ and the steady state $\bar{c} = 10$. The government first pursues its optimal policy knowing what the true agricultural productivity is. Figures 1*b* and *d* show that grain output rises from year 1 to year 4 as the peasants' per capita consumption of food recovers from its wartime low. Suppose in year 5 that the government becomes more impatient—its discount factor β falls from 0.9 to 0.8—and launches the